

INDIAN ECONOMY

LEVEL
II



LECTURES

INVESTMENT MODELS WITH
SPECIAL EMPHASIS ON
HYBRID ANNUITY MODEL

MODULE - 41



VARIOUS TYPES OF INVESTMENT MODELS

1

ENGINEERING, PROCUREMENT AND CONSTRUCTION (EPC) MODEL



- Government pays the private players to lay the roads/create the assets.
- The private player has no role in the ownership of assets/maintenance of assets/toll collection etc. Hence, there is no operational risk of the project for the developer.
- The entire cost is borne by the Government.
- However, private player brings the technical know-how.

2

BOT MODEL



- BOT stands for Build, Operate and Transfer.
- Private players have active role.
- They build, operate and maintain the asset for a specified number of years, say 10-15 years before transferring to the Government.
- The private player arrange all the finances for the project, while collecting toll revenue or annuity fee from the Government.

CATEGORY. 1

TOLL MODEL

- Road developer collects toll from the users to recoup the investment.
- Private developer assumes the demand risk in the toll projects, sometimes he may go into the losses.
- Here the private developer, though he assumes demand risk, but he will also get substantial benefit, if the traffic growth is more than what is assumed.

CATEGORY. 2

ANNUITY MODEL

- The developer receives predefined annuity payments from the Government.
- There is no risk for the developer.
- Though the developer does not assume any demand risk, the profits are also limited. As the risks are less, profits are also less.



3 HYBRID ANNUITY MODEL (HAM)



The recent success in highway construction projects and consistent increase in the total length completed year-after-year is credited to the Hybrid Annuity Model adopted by the Government.

- HAM is a hybrid, a mix of the EPC (Engineering, Procurement and Construction) and BOT (Build, Operate, Transfer) models.
- Project developer is selected through transparent bidding process.
- Cash support for construction up to 40% will be paid to the developer by the Government.
- Developer has to bear the balance 60% of the cost through a combination of debt and equity.
- Developer is responsible for maintenance of the project till the end of the concession period.
- Collection of toll/user charges will be the responsibility of the Government. It de-risks private investment in the sector





WHY THE HAM BECAME A PREFERRED MODEL FOR HIGHWAY CONSTRUCTION?

- Prior to HAM, 75% of the PPP Projects were implemented under the toll model.
- Developers faced problems primarily due to ---
 - ✓ Delays for want of environment / forest clearances
 - ✓ Land acquisition problems
 - ✓ Delays in Government decisions as the entire money is contributed by the private developer
 - ✓ Expected traffic could not materialize and hence less toll collections
- To reduce the risk, HAM became the preferred model.

3

HYBRID ANNUITY MODEL

HAM ADVANTAGES

- As the Government is required to invest only 40% of the project cost, it ensures less burden on the Government.
- It puts the project into action mode immediately as Government is also involved.
- As the Government is also a stakeholder by investing 40% of the money, the clearances would become faster. It partly relieves the private player from the risks involved.
- Banks/Financial Institutions will also come forward to give loans.

- Project would be completed in a timely manner as the Government payments are linked to the time of completion and some of the projects are also in-built with incentives, that means, if the project is completed before time they will be paid incentive. Hence, it will reduce the cost overruns of the stalled projects.
- It gives professionalism in the work culture, may lead to technology transfer and dynamism.
- It benefits the Government in case of competition among the private sector players.



LARSEN & TOUBRO

- It is a method of bidding.
- The interested party initiates a proposal for a contract or the bid for a project.
- The Government then puts the details of the project in the public domain and invites proposals from others interested in executing it.
- On the receipt of these bids, the original contractor gets an opportunity to match the best bid.

In its original form, a Swiss Challenge allows an infrastructure developer to come up with a suo motu proposal for a new project. This is without waiting for the Government to call for bids!

ADVANTAGES

This can foster innovation, as contractors or developers may initiate projects that the powers-that-be didn't even think of.



DISADVANTAGES

- By allowing a bidder to initiate an idea and giving him the first right of refusal, the Swiss Challenge can promote favouritism in the award of public projects.
- It may open the doors to corruption. It may lead to opaqueness, information asymmetry and inequality.
- The technology, terms & conditions and the mode of execution may exclude certain firms.
- It may lead to monopolistic / oligopolistic tendencies favouring few companies.

Experts suggest - an open list of public projects that allow Swiss Challenge and full public disclosure of bid details, when the Government receives a proposal - can solve the problem to certain extent!

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Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

98499 42299